

Global AML/CFT Standards - Consolidated Summary of the Forty Recommendations

Risk-based approach, customer due diligence, wire transfer transparency and reporting duties

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This document is synthetic content authored for a multi-agent fraud intelligence hackathon. It paraphrases the structure and themes of public materials (FATF Recommendations and Methodology, publicly available) but contains no verbatim reproduction of them. Thresholds, codes and identifiers are illustrative.

1. Purpose and scope

This summary consolidates the international standards that obliged entities are expected to implement to combat money laundering, terrorist financing and proliferation financing. It is written for automated policy retrieval: each control is stated as a testable rule with an explicit trigger.

The standards apply to banks, payment institutions, electronic money issuers, virtual asset service providers, and designated non-financial businesses and professions. Where a national rule is stricter than this summary, the national rule prevails.

2. The risk-based approach

Obliged entities shall identify, assess and understand their money laundering and terrorist financing risks, and apply mitigating measures proportionate to those risks. Risk assessment shall consider, at minimum: customer type, product and service, delivery channel, and geography of origin and destination.

2.1 Geography weighting

The geographic risk factor is evaluated for both the originating and the beneficiary leg of a transaction. A transaction inherits the higher of the two country ratings. Where either leg touches a jurisdiction under a call for action, enhanced due diligence is mandatory irrespective of amount.

Composite geography rating	Trigger	Required action
LOW	Both legs rated 1-2 on the country scale	Standard monitoring
MEDIUM	Either leg rated 3	Automated scenario review; annual refresh
HIGH	Either leg rated 4	Enhanced due diligence; senior approval above 15,000 EUR

Composite geography rating	Trigger	Required action
PROHIBITED	Either leg subject to a call for action or sanctions programme	Block and escalate to the compliance officer within 4 hours

3. Customer due diligence

CDD measures shall be applied when establishing a business relationship, when carrying out an occasional transaction above the applicable threshold, when there is a suspicion of money laundering, and when previously obtained identification data is doubted.

- Identify the customer and verify identity using reliable, independent source documents or electronic verification.
- Identify the beneficial owner and take reasonable measures to verify the ownership and control structure. Ownership above 25% is the default indicator; control by other means must also be tested.
- Understand and, where relevant, obtain information on the purpose and intended nature of the business relationship.
- Conduct ongoing due diligence, including scrutiny of transactions to ensure consistency with the customer profile, source of funds and source of wealth.

3.1 Enhanced due diligence triggers

- Politically exposed persons, their family members and known close associates - senior management approval required before onboarding or continuing the relationship.
- Correspondent banking and nested payable-through arrangements.
- Non face-to-face onboarding without a qualified electronic identification scheme.
- Complex or unusually large transactions with no apparent economic or lawful purpose.
- Legal persons with bearer instruments, nominee shareholders, or opaque multi-layer structures across three or more jurisdictions.

4. Wire transfer transparency

Financial institutions shall include required and accurate originator information, and required beneficiary information, on wire transfers and related messages, and the information shall remain with the transfer throughout the payment chain.

Field	Required cross-border	Required for domestic
Originator name	Yes	Yes
Originator account or unique transaction reference	Yes	Yes
Originator address, national ID or date and place of birth	Yes	Traceable within 3 business days
Beneficiary name	Yes	Yes

Field	Required cross-border	Required for domestic
Beneficiary account or unique reference	Yes	Yes

4.1 Regional supervisory frameworks recognised for equivalence assessment

When assessing whether a counterparty institution operates under comparable standards, the following regional bodies and their mutual evaluation outcomes shall be consulted. Membership of a regional body does not by itself establish equivalence; the latest evaluation rating governs.

Regional body	Coverage	Note for corridor assessment
MONEYVAL	Council of Europe states	Applies to several EU and neighbouring jurisdictions
Eurasian Group and Asia/Pacific Group - China	CN	Assessed regionally and directly against the standards; capital control interaction is a distinctive corridor factor
European supervisory framework - Belgium	BE	EU rules apply directly; the national regime adds sectoral duties for the diamond trade and port-linked commerce
MENAFATF	Middle East and North Africa, including AE	Trade and free zone exposure is the dominant regional risk
Asia/Pacific Group on Money Laundering	Asia-Pacific, including BD and SG	Informal value transfer and trade-based laundering dominate regional typologies
Israel - direct FATF membership	IL	Assessed directly against the standards; national authority is the financial intelligence and enforcement body
GAFILAT	Latin America, including MX and PA	Cash proceeds and corporate opacity dominate
GIABA	West Africa, including NG	Fraud proceeds and cash-based economies dominate

Intermediary institutions shall retain all accompanying information. A beneficiary institution shall implement risk-based procedures to identify transfers lacking required information and to determine whether to execute, reject or suspend them.

5. Reporting and record keeping

Where an entity suspects, or has reasonable grounds to suspect, that funds are the proceeds of criminal activity or are related to terrorist financing, it shall report promptly to the national financial intelligence unit. Tipping off the customer is prohibited.

- Records of transactions, account files and business correspondence shall be kept for at least five years after the end of the relationship or the date of the occasional transaction.
- Suspicious activity reports shall be filed without delay and, in any event, within the deadline set by national law.
- Internal escalation from a first-line alert to the compliance function shall not exceed five business days for standard alerts and four hours for sanctions matches.

6. Indicative typologies and red flags

The following behavioural patterns are indicative and shall be used as features by automated detection models. A single flag is not evidence of laundering; the analytical value lies in co-occurrence.

- Structuring: multiple credits just below a domestic reporting threshold within a rolling 72-hour window.
- Rapid pass-through: funds leave the account within 24 hours of receipt, retaining less than 5% of the credited amount.
- Fan-in / fan-out topology: 8 or more unrelated originators crediting one account that then remits to 3 or fewer beneficiaries.
- Round-amount transfers with generic references such as 'invoice', 'services', 'loan repayment' and no supporting documentation.
- Counterparty in a jurisdiction subject to enhanced monitoring where the customer has no declared economic link.
- Account dormant for more than 180 days that suddenly receives credits exceeding 10x its historical monthly average.
- Use of a newly incorporated legal entity (less than 90 days old) as an intermediary in a chain of transfers.
- Beneficiary name mismatch with the account holder, or repeated use of a third-party payee.
- Cash-intensive business whose card acquiring volume diverges materially from its cash deposit pattern.
- Transfers routed through a corridor with no commercial rationale relative to the customer's declared business.

6.1 Layering signatures

- Circular flows returning at least 60% of an initial outflow to an account controlled by the same beneficial owner within 30 days.
- Chains of three or more hops in which each intermediary retains a fee-like residue of 1% to 3%.
- Splitting a single large receipt into transfers of near-identical value to accounts opened on the same day at the same branch.
- Conversion of proceeds into virtual assets and back to fiat through more than one exchange within 48 hours.

6.2 Regionally weighted indicators

- Corridors with high migrant remittance volume: many small inbound transfers to a single beneficiary from unrelated senders, or settlement patterns suggesting substitution of a formal transfer by an informal value transfer arrangement.
- Corridors dominated by a single export sector: payment values that do not track the declared shipment volumes of that sector, or proceeds retained offshore beyond the domestic repatriation period.
- Corridors involving high-value goods hubs such as diamonds, gemstones or precious metals: settlement between dealers with minimal margin and no evidenced physical movement of stones.
- Corridors touching conflict-affected regions: transfers to or from non-profit organisations without an evidenced programme, or to cash collection points near a conflict border.